

**Superior Court of the State of California
County of Orange**

**TENTATIVE RULINGS FOR DEPARTMENT C32
JUDGE LEE L. GABRIEL, Dept. C32**

Date: January 30, 2024

APPEARANCES: Department C32 conducts non-evidentiary proceedings, such as law and motion, remotely, by Zoom videoconference. All counsel and self-represented parties appearing for such hearings must check-in online through the Court's civil video appearance website at <https://www.occourts.org/media-relations/civil.html> prior to the commencement of their hearing. Once the online check-in is completed, participants will be prompted to join the courtroom's Zoom hearing session. Check-in instructions and instructional video are available at <https://www.occourts.org/mediarelations/aci.html>. The Court's "Appearance Procedures and Information--Civil Unlimited and Complex" ("Appearance Procedures") and "Guidelines for Remote Appearances" ("Guidelines") are also available at <https://www.occourts.org/mediarelations/aci.html>.

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- Civil Court Reporter Pooling; and
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These are the Court's tentative rulings. They may become an order if the parties do not appear at the hearing. The Court also might make a different order at the hearing. (*Lewis v. Fletcher Jones Motor Cars, Inc.* (2012) 205 Cal.App.4th 436, 442, fn. 1.)

If the parties agree to submit on the Court's tentative rulings, please call the Court Clerk to inform the court that all parties submit on the Court's tentative ruling. The tentative ruling will then become the order of the Court upon a party or parties informing the Court that all parties submit to the Court's tentative ruling.

No filming, broadcasting, photography, or electronic recording is permitted of the video session pursuant to California Rules of Court, rule 1.150 and Orange County Superior Court rule 180.

#	Case Name	Tentative
3	30-2020-01148828 Tran vs. Zenith Manufacturing Inc.	Demurrer to Complaint Defendant Modern Fittings, Inc.’s (MFI) Demurrer to Plaintiffs’ Complaint is SUSTAINED with leave to amend. Defendant’s Request for Judicial Notice of Secretary of State records showing it was incorporated on 2/3/20 is GRANTED. Plaintiffs filed the Complaint on 6/19/20. Plaintiffs filed a fictitious name amendment on 4/26/23 identifying MFI as “Doe 2.” The Complaint does not allege any specific facts against Doe 2, other than general allegations that Does 1-50 were responsible for the conduct of the named Co-Defendants. (¶ 4.) MFI contends it cannot be liable for the wrongful termination of Plaintiffs in 2019 because it was not incorporated until 2020, and that Plaintiffs have failed to allege a basis for successor liability against it. Plaintiffs have not alleged facts supporting MFI’s liability in the Complaint. The fictitious name amendment process under Code of Civil Procedure section 474 does not allow Plaintiffs to avoid the requirement to plead facts supporting each element of their claims against the fictitiously named Defendant. (See <i>Williams v. Sacramento River Cats Baseball Club, LLC</i> (2019) 40 Cal.App.5th 280, 286 [plaintiff must allege facts sufficient to establish every element of causes of action against defendant].) Here, the Complaint does not explain the relationship between MFI, its Co-Defendants, or Plaintiff in a manner that would allow MFI to defend itself against Plaintiff’s claims or allow the Court to evaluate the merits of those claims. Therefore, the demurrer is sustained with leave to amend. Plaintiffs shall file and serve their amended complaint within 15 days of service of this order.
4	30-2022-01261142 Daverson vs. Buccola	1. Demurrer to Amended Complaint KELLY SHAWN GWIN’S DEMURRER TO THE SECOND AMENDED COMPLAINT Defendant Kelly Shawn Gwin’s Demurrer to the Second Amended Complaint is SUSTAINED. Defendant’s Request for Judicial Notice is GRANTED.

“A demurrer tests the legal sufficiency of the factual allegations in a complaint.” (*Redfearn v. Trader Joe’s Co.* (2018) 20 Cal. App. 5th 989, 996.) The Court must determine “whether the complaint alleges facts sufficient to state a cause of action or discloses a complete defense.” (*Id.*) The Court assumes “the truth of the properly pleaded factual allegations, facts that reasonably can be inferred from those expressly pleaded and matters of which judicial notice has been taken.” (*Id.*) “A demurrer must dispose of an entire cause of action to be sustained.” (*Fremont Indem. Co. v. Fremont Gen. Corp.* (2007) 148 Cal. App. 4th 97, 119.)

First Cause of Action – Financial Elder Abuse

Gwin argues that Court should sustain the demurer to the first cause of action for financial elder abuse brought by Trudy because it is a sham cause of action.

The sham pleading doctrine is described in *Deveny v. Entropin, Inc.* (2006) 139 Cal.App.4th 408:

“Under the sham pleading doctrine, plaintiffs are precluded from amending complaints to omit harmful allegations, without explanation, from previous complaints to avoid attacks raised in demurrers or motions for summary judgment. (See *Hendy v. Losse* (1991) 54 Cal.3d 723, 742-743, 1 Cal.Rptr.2d 43, 819 P.2d 1 [affirming an order sustaining defendants’ demurrer without leave to amend when the plaintiff filed an amended complaint omitting harmful allegations from the original unverified complaint] see also *Colapinto v. County of Riverside* (1991) 230 Cal.App.3d 147, 151, 281 Cal.Rptr. 191 (*Colapinto*) [“If a party files an amended complaint and attempts to avoid the defects of the original complaint by either omitting facts which made the previous complaint defective or by adding facts inconsistent with those of previous pleadings, the court may take judicial notice of prior pleadings and may disregard any inconsistent allegations.”].) A noted commentator has explained, “Allegations in the original pleading that rendered it vulnerable to demurrer or other attack cannot simply be omitted without explanation in the amended pleading. The policy against sham pleadings requires the pleader to *explain* satisfactorily any such omission.” (Weil &

Brown, Cal. Practice Guide: Civil Procedure Before Trial (The Rutter Group 2005) ¶ 6.708.)

(Id. at 425.)

Here, Plaintiffs' allegations in the FAC were based on the premise that Gwin wrongly terminated Trudy's investment by repaying the First Loan in full on 2-19-21. (See FAC, ¶¶ 45, 69, 73, 86.) Plaintiffs claimed that Trudy was owed \$15,000.00, or twelve months of "[i]nterest on loans at \$1,250 per month[.]" (Id., ¶ 86.) Plaintiffs conceded that the "[p]rincipal outstanding on loans of \$600k" was no more than \$229,080.00. (Id., ¶ 86.)

In the SAC, Plaintiffs now allege that Defendants committed fraud for the purpose of "keeping Trudy's original loan of \$300,000 to Kelly unpaid." (SAC, ¶ 111.) Plaintiffs claim that "[n]one of the principal funds of the original loan of \$300,000 have been repaid[.]" (Id., ¶ 76.) Plaintiffs demand the entire principal sum of \$300,000.00 on the First Loan, plus interest. (Id., ¶ 78.) Plaintiffs now demand their attorneys' fees and costs pursuant to the Promissory Note. (SAC, p. 27, Prayer for Relief, ¶ 4.)

In Opposition, Plaintiffs explain the contradiction in the pleadings by claiming that documents produced in discovery show that Gwin's intention in making the \$368,420 payment to Trudy was for repayment of the second loan provided for the Costa Mesa home and not the first loan. Previously, Plaintiffs were not sure what Gwin was paying back with his \$368,420 check to Trudy. Plaintiffs were under the impression that this check was to go toward payback of the first loan plus the monthly interest owed on that loan. (SAC, ¶ 58.)

Plaintiffs' argument is disregarded for two reasons. First, Plaintiffs' submission of documents produced in discovery cannot be considered on demurrer. A demurrer can be used only to challenge defects that appear on the face of the pleadings under attack; or from matters outside the pleading that are judicially noticeable. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) No extrinsic evidence can be considered. (*Ion Equipment Corp. v. Nelson* (1980) 110 Cal.App.3d 868, 881.) Therefore, Plaintiffs exhibits filed in opposition to the demurrer will not be considered.

Second, the new allegations in the SAC simply do not make sense. If Trudy was uncertain whether the check for \$368,420

was for the First or Second Loan, she should have plead such facts in the Complaint or FAC. She did not. Now, after the Court ruled on the demurrer to the FAC, Trudy seems to have remembered the following:

- **Trudy understood this check for \$368,420 to be repayment of the second loan** she made to Kelly on November 2, 2020, to help fund Shannan’s new home, given the memorandum that said, “Shannan pay back.” (SAC, ¶ 58.)
- After the sale of the Louise Home in March 2021, Gwin verbally told her that Trudy would be paid back her total outstanding balance **on the first loan** of \$300,000 in about a month. (SAC, ¶¶ 63, 64.)
- On April 2, 2021, Trudy wrote Gwin a text, “**again asking for repayment of the first loan.**” (SAC, ¶ 65.)

These facts do not appear to have been revealed as the result of discovery but are facts/memories possessed by Trudy. She provides no plausible explanation why she failed to include such allegations in the FAC, and instead pleads contradictory allegations that the check was payment for the First Loan. (See FAC, ¶¶ 69, 73)

Furthermore, the SAC states that Gwin obtained the First Loan from Trudy on 11-2-20, but this is not true. (SAC, ¶ 72.) According to the SAC, Gwin took or obtained the First Loan over two years earlier on 5-6-18. (SAC, ¶ 40.) This conflicting fact, coupled with the change of facts that now the First Loan was never paid, calls into question the validity or accuracy of Plaintiffs’ claims.

Accordingly, the Court **SUSTAINS** the demurrer on the grounds of sham pleading, but grants **Plaintiffs one more opportunity to amend their complaint to explain the discrepancies.**

Third Cause of Action – Fraud

False Representations

The common law elements of fraud which give rise to the tort action for deceit are: (1) misrepresentation of a material fact, consisting of false representation, concealment or nondisclosure; (2) knowledge of falsity; (3) intent to deceive and induce reliance; (4) justifiable reliance on the misrepresentation; and

(5) resulting damage. (*City of Atascadero v. Merrill Lynch, Pierce, Fenner & Smith, Inc.* (1998) 68 Cal.App.4th 445.) Reliance exists when the misrepresentation of nondisclosure was an immediate cause of the plaintiff's conduct which altered his or her legal relations, and when without such misrepresentation or nondisclosure he or she would not, in all reasonable probability, have entered into the contract or other transaction. (Id. (internal citations omitted).)

It is well-established that “[e]very element of the cause of action for fraud must be alleged in the proper manner and the facts constituting fraud must be alleged with sufficient specificity to allow Defendant to understand fully nature of the charges made.” (*Stanfield v. Starkey* (1990) 220 Cal.App.3d 59, 73 (internal citations omitted).) This particularity requirement necessitates pleading *facts* which show how, when, where, to whom, and by what means the representations were tendered. (Id. (internal citations and quotation marks omitted).)

Plaintiffs allege Gwin represented that the original \$300,000 would remain available at the end of each year for full repayment to Trudy or for rollover into another loan/investment. (SAC, ¶ 113.) Plaintiffs also now allege that Gwin represented to them that the Costa Mesa Home was in good condition and did not need any major repairs. (SAC, ¶ 114.) These representations were allegedly not true.

As previously ruled on the demurrer to the FAC, Plaintiffs fail to allege specific facts as to how Gwin made the representations, when Gwin made the representations, where Gwin made the representations, and by what means Gwin made the representations.

False Concealment

Shannan claims that Defendants concealed from her that \$600,000 of the cost of the Costa Mesa Home originated from loans to Gwin from her mother Trudy. Had she known the truth she would not have moved from the Louise Home. But Shannan seems to have known that some funds were from her mother. As alleged previously in the FAC, Gwin told Shannan to tell the bankers that \$250,000 was supplied as a “gift” from Trudy towards the Costa Mesa Home. (FAC, ¶ 41.) Furthermore, Trudy knew that \$600,000 of her money would be used toward the purchase of the Costa Mesa Home. (FAC, ¶ 36.)

“[T]he question in a nondisclosure case is whether the defendant knows of material facts, and also knows that those facts are neither known nor readily accessible to the plaintiff.” (*See Vega v. Jones, Day, Reavis & Pogue* (2004) 121 Cal.App.4th 282, 295.) Plaintiffs provide no explanation why it was material that \$600,000 versus \$250,000 of Trudy’s money was used toward the purchase of the Costa Mesa House. As alleged previously in the FAC, Gwin told Shannan to tell the bankers that \$250,000 was a gift from Trudy for the purchase of the Costa Mesa Home. Trudy also knew that \$600,000 of her money would be used toward the purchase of the Costa Mesa Home. (FAC, ¶ 36.)

Moreover, there are no allegations that Gwin was aware that Shannan was ignorant of the facts, given that she could have simply asked her mother who was aware how the \$600,000 was to be used.

False Promises

Plaintiffs also allege that Gwin and Dennis made false promises to Trudy that Trudy’s original \$300,000 loan would be paid back in full. (SAC, ¶¶ 134, 135.) Plaintiffs further allege that Gwin made promises to Shannan that the Costa Mesa Home was safe. (SAC, ¶ 136.)

The elements of a promissory fraud cause of action, include: “(1) a promise made regarding a material fact without any intention of performing it; (2) the existence of the intent not to perform at the time the promise was made; (3) intent to deceive or induce the promisee to enter into a transaction; (4) reasonable reliance by the promisee; [and] (5) nonperformance by the party making the promise[.]” (*Gruber v. Gruber* (2020) 48 Cal.App.5th 529, 540.)

Here, Plaintiffs do not allege that Gwin lacked an intent to pay back the First Loan at the time it was made, nor that he did not intend to pay back the loan as stated. And now that Plaintiffs assert Gwin paid the Second Loan, there can be no fraud with respect to that loan.

Furthermore, Plaintiffs fail to allege that Gwin promised to do anything with respect to the Costa Mesa Property. The only alleged false promises relate to the condition of the property itself, but Gwin never promised he would fix the property or otherwise engage in any affirmative act.

	For all the foregoing reasons, the demurrer to the fraud cause of action is SUSTAINED with leave to amend. Fourth Cause of Action - Breach of Contract In light of the Court’s ruling on the first cause of action, Plaintiffs are granted the opportunity to amend the Complaint to address the inconsistencies between the FAC and the SAC regarding whether Gwin failed to pay the First Loan or the Second Loan. Therefore, the Court SUSTAINS the demurrer to the fourth cause of action with leave to amend. Plaintiffs have 20 days leave to amend. Moving party to give notice. 2. Demurrer to Amended Complaint DENNIS BUCCOLA’S DEMURRER TO THE SECOND AMENDED COMPLAINT Defendant Dennis Buccola’s Demurrer to the Second Amended Complaint is SUSTAINED. Defendant’s Request for Judicial Notice is GRANTED. “A demurrer tests the legal sufficiency of the factual allegations in a complaint.” (<i>Redfearn v. Trader Joe’s Co.</i> (2018) 20 Cal. App. 5th 989, 996.) The Court must determine “whether the complaint alleges facts sufficient to state a cause of action or discloses a complete defense.” (<i>Id.</i>) The Court assumes “the truth of the properly pleaded factual allegations, facts that reasonably can be inferred from those expressly pleaded and matters of which judicial notice has been taken.” (<i>Id.</i>) “A demurrer must dispose of an entire cause of action to be sustained.” (<i>Fremont Indem. Co. v. Fremont Gen. Corp.</i> (2007) 148 Cal. App. 4th 97, 119.) Claims Brought by Shannan Against Dennis On May 17, 2023, the Court ruled that it does not have jurisdiction over Plaintiff Shannan Buccola’s claims against Defendants Dennis Buccola and MSSK Ventures, LLC and sustained the demurrer to the FAC in its entirety as to those claims asserted by Shannon. (ROA 191.) The Court found as
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follows: “Based on the allegations in the FAC as described above, the substance of the FAC as brought by Plaintiff—Shannan Buccola is a family law case brought in civil court especially when Plaintiff—Shannan Buccola initiated the family law case. (RJN, Exhibit 1.). This court does not have jurisdiction over Plaintiff—Shannan Buccola’s claims against Defendants—Dennis Buccola and MSSK Ventures, LLC. Therefore, the court SUSTAINS the Demurrer in its entirety as brought against the causes of action asserted by Plaintiff—Shannan Buccola.”

Shannan continues to pursue in the SAC claims against Dennis for breach of fiduciary duty and fraud.

Breach of Fiduciary Duty

Regarding the breach of fiduciary duty claim, the court based its ruling in part on the damages claims in paragraph 94 of the FAC, which states that Shannon suffered damages based on the sale of the property located at 1656 Louise Street, Laguna Beach (“Louise Home”), and that such was within the scope of the Judgment. In her SAC Shannan has attempted to avoid this ruling by now claiming that her damages on this cause of action arise only from the “financing and legal ownership of the Costa Mesa Home.” (SAC, ¶ 107.) This change is questionable and ineffective.

First, the SAC notes that Dennis purchased the Louise Home for Shannan pursuant to the divorce agreement. (SAC, ¶ 13.) Due to monetary/legal trouble, Dennis informed Shannan that he had to sell the Louise Home and would purchase a new home for Shannan. (SAC ¶¶ 14, 17.) Dennis was in fact listed as a buyer of the Costa Mesa property along with Shannan in the escrow documents. (SAC, ¶ 90.) Thus, the claims involving the Costa Mesa Home arise from the Judgment.

Second, the FAC alleged that Dennis engaged in wrongdoing “concerning the proceeds from the sale of the Louise Home and the financing and legal ownership of the Costa Mesa Home.” (FAC, p. 17, l. 24). Thus, claims based on the Costa Mesa home were also included in the FAC. Nevertheless, the court sustained Dennis’s demurrer.

Third, there are no allegations that Dennis owed a fiduciary duty to Shannan. The SAC only states that “Kelly and DOES 1-50, inclusive, owed Shannan a fiduciary duty and obligation of good faith, fair dealing, loyalty, due care, reasonable inquiry,

	oversight and supervision as her real estate agent.” (SAC, ¶ 105.) Although the SAC asserts that “a fiduciary duty imposes on a real estate agent, its corporate officers and partners, and thus, Dennis, a duty to act with the utmost good faith,” there are no allegations that Dennis was a real estate agent, or a corporate officer or partner of Gwin or any real estate agency or brokerage involved in the transaction. (SAC, ¶ 106.) Fourth, claims arising from both properties arise from the Judgment’s complete disposition of all of Dennis’s and Shannan’s real and personal property assets, and thus remain the exclusive jurisdiction of the Family Court. Accordingly, the demurrer to the breach of fiduciary duty claim brought by Shannan and against Dennis is SUSTAINED without leave to amend. Fraud The Court previously sustained the demurrer to Shannan’s fraud claims on the grounds that it lacked jurisdiction. (ROA 191.) The court based its ruling on the exclusive jurisdiction of the family court established by the Judgment. It cited language in the FAC stating, “[t]he representations made by Kelly . . . were made . . . for purpose breaching [sic] the divorce agreement to keep Shannon housed and cared for.” (Id.) Shannan has now deleted this language from the SAC. But it is of no consequence. All of the allegations emanate from disputes over the parties’ real or personal property assets, which were made the exclusive subject of the family law court in the Judgment. Accordingly, the Court SUSTAINS the demurrer as to Shannan’s claims for fraud against Dennis without leave to amend. Claims Brought by Trudy Against Dennis Financial Elder Abuse Trudy alleges a cause of action against Dennis based on financial elder abuse. However, Trudy does not allege she had communications or interactions with Dennis. Trudy attempts to cure this defect by alleging that Gwin was acting as Dennis’ agent when Gwin engaged in various alleged wrongdoings.
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The Court previously rejected this argument. In sustaining the demurrer to the FAC, the court’s notice of ruling (ROI 191) noted Civil Code sections 2330, which holds that a principal’s liability can only arise from acts of an agent acting within the scope of authority, “which would accrue to the agent from transactions within such limit.” It ruled that, “[t]he FAC does not sufficiently allege that Dennis employed Gwin as his agent to obtain the \$600,000 on behalf of Defendant—Dennis Buccola. (FAC, ¶¶ 67, 68, 69, and 70.) Therefore, the allegations in the FAC are insufficient to allege financial elder abuse based on an agency liability theory against Defendant—Dennis Buccola.”

Trudy clarifies that she does not hold Dennis responsible for obtaining the entire \$600,000. Rather, Dennis’ liability to her started when Gwin, as Dennis’ agent, converted the first loan of \$300,000 to go toward the payment for the Costa Mesa Home. Such allegations, however, are insufficient to cure the defects noted above.

Plaintiffs cite to *D’Acquisto v. Evola* (1949) 90 Cal.App.2d 210, 213 for the proposition that an agency must rest upon an agreement, and that emails and text evidence that Gwin is Dennis’ agent. The Court, however, cannot consider such evidence on demurrer. A demurrer can be used only to challenge defects that appear on the face of the pleadings under attack; or from matters outside the pleading that are judicially noticeable. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) No extrinsic evidence can be considered. (*Ion Equipment Corp. v. Nelson* (1980) 110 Cal.App.3d 868, 881.) Therefore, Plaintiffs exhibits filed in opposition to the demurrer will not be considered.

Nonetheless, Plaintiff could have plead the substance of such an agreement, yet they did not. There are no facts alleged that suggest Gwin was Dennis’ employee. Using a real estate agent to assist you with the sale of a property is not the same as employing someone as a real estate agent.

Furthermore, despite the conflicting claims of whether the First Loan or Second Loan was paid, the SAC alleges that Trudy “is owed \$600,000 in principal for two loans she made to Kelly at \$300,000 each.” (SAC, ¶ 57.) There is no allegation that Gwin was borrowing the funds on behalf of Dennis or anyone else. In fact, Plaintiffs allege that Trudy had been investing funds with Gwin via promissory notes since at least 2014. (SAC, ¶ 39.)

“Trudy had always trusted Kelly with respect to these investments/loans, and Kelly had always paid back the loans/investments as agreed.” (Id.) There is no allegation that Dennis was involved in these transactions or that Gwin was acting on his behalf when he borrowed the funds from Trudy. Such facts negate any finding of agency.

Accordingly, Trudy cannot state a claim for financial elder abuse against Dennis and the demurrer to this cause of action is **SUSTAINED with leave to amend.**

Fraud Claim

The sixth cause of action of the FAC alleged fraud by Dennis against Trudy.

The common law elements of fraud which give rise to the tort action for deceit are: (1) misrepresentation of a material fact, consisting of false representation, concealment or nondisclosure; (2) knowledge of falsity; (3) intent to deceive and induce reliance; (4) justifiable reliance on the misrepresentation; and (5) resulting damage. (*City of Atascadero v. Merrill Lynch, Pierce, Fenner & Smith, Inc.* (1998) 68 Cal.App.4th 445.) Reliance exists when the misrepresentation of nondisclosure was an immediate cause of the plaintiff’s conduct which altered his or her legal relations, and when without such misrepresentation or nondisclosure he or she would not, in all reasonable probability, have entered into the contract or other transaction. (Id. (internal citations omitted).)

It is well-established that “[e]very element of the cause of action for fraud must be alleged in the proper manner and the facts constituting fraud must be alleged with sufficient specificity to allow Defendant to understand fully nature of the charges made.” (*Stanfield v. Starkey* (1990) 220 Cal.App.3d 59, 73 (internal citations omitted).) This particularity requirement necessitates pleading *facts* which show how, when, where, to whom, and by what means the representations were tendered. (Id. (internal citations and quotation marks omitted).)

Plaintiffs do not allege that Dennis personally made any misrepresentations or promises to him. Rather, they argue that Gwin, as an agent of Dennis, made misrepresentations to them. As stated above, Plaintiffs have failed to adequately plead the existence of an agency relationship between Gwin and Dennis.

		Yet even assuming an agency relationship was alleged, Plaintiffs have again failed to plead fraud with specificity. Plaintiffs do not allege specific facts as to how Gwin made the representations, when Gwin made the representations, where Gwin made the representations, and by what means Gwin made the representations that constitute the alleged fraud. Therefore, the Court SUSTAINS the demurrer to Trudy's fraud claim against Dennis with leave to amend. Plaintiff Trudy Daverso has 20 days leave to amend. Moving party to give notice.
6	30-2020-01126552 Dovan vs. LA Fitness International, LLC	Plaintiffs Christine and Bao Dovon's motion for leave to file a First Amended Complaint is DENIED WITHOUT PREJUDICE TO RE-FILE. Code of Civil Procedure section 473, subdivision (a) permits a court to allow an amendment to any pleading. "A motion to amend a pleading before trial must: (1) Include a copy of the proposed amendment or amended pleading, which must be serially numbered to differentiate it from previous pleadings or amendments; (2) State what allegations in the previous pleading are proposed to be deleted, if any, and where, by page, paragraph, and line number, the deleted allegations are located; and (3) State what allegations are proposed to be added to the previous pleading, if any, and where, by page, paragraph, and line number, the additional allegations are located." (Rules of Court, rule 3.1324(a).) A court has broad discretion to determine a motion to amend pleadings. (Code Civ. Proc., § 473, subd. (a)(1).) The decision on a motion for leave to amend is entrusted to the sound discretion of the court. (Branick v. Downey Savings & Loan Assn. (2006) 39 Cal.4th 235, 242.) Plaintiffs seek leave to file a FAC to add substantial factual allegations, a cause of action for gross negligence, and punitive damages claim. Given the procedural posture of the case, the motion for leave to amend is DENIED WITHOUT PREJUDICE TO RE-FILE for the following reasons: One, gross negligence is not a stand-alone cause of action and the proposed FAC is defective

		as a matter of law for adding it. “ “ “Gross negligence” long has been defined in California and other jurisdictions as either a “ “ “want of even scant care” or “an extreme departure from the ordinary standard of conduct.” ’ ’ [Citations.] [Citations.] Gross negligence is a subspecies of negligence; it is not a separate tort.” (Joshi v. Fitness International, LLC (2022) 80 Cal.App.5th 814, 825.) Moreover, when the court denied Defendant’s first motion for summary judgment, and specifically, its motion for summary adjudication on Issue 1 (no triable issue as to 1st cause of action for negligence pursuant to the express waiver and as a complete defense to ordinary negligence) on the ground that there is a triable issue of material fact as to gross negligence with respect to Defendant’s management of the sauna [ROA 193], it determined that the 1st cause of action for negligence embraces a claim for gross negligence. Plaintiffs’ motion admits this much, and they essentially had no response to Defendant’s assertion that gross negligence is not a separate cause of action. Two, denying without prejudice will allow Plaintiffs to clean up the proposed FAC to just add the factual allegations to the already existing negligence cause of action, as well as the punitive damages allegations and prayer, and comply with CRC 3.1324. Defendant to give notice of ruling.
8	30-2022-01183025 SPAIN vs. CHAPARRAL BOATS, INC.	Motion to Compel Deposition (Oral or Written) Plaintiff’s Motion to Compel the Deposition of Defendant Chaparral Boats, Inc.’s (Chaparral) Person Most Qualified is DENIED as moot. Plaintiff filed the motion on 7/27/23. Plaintiff moves to compel the deposition of Chaparral’s person most qualified under Code of Civil Procedure section 2025.230, which states: “If the deponent named is not a natural person, the deposition notice shall describe with reasonable particularity the matters on which examination is requested. In that event, the deponent shall designate and produce at the deposition those of its officers, directors, managing agents, employees, or agents who are most qualified to testify on its behalf as to those matters to the extent of any information known or reasonably available to the deponent.”

		On 10/16/23, Plaintiff voluntarily dismissed Chaparral with prejudice. Therefore, the motion appears to be moot. Moreover, to the extent Plaintiff still intends to conduct a deposition of Chaparral's person most qualified, Plaintiff must now serve a subpoena for deposition testimony to Chaparral because Chaparral is no longer a party to the action. (Code Civ. Proc. § 2025.280(a)-(b) [deposition notice effective to require party to appear for deposition, but testimony of nonparty deponent requires deposition subpoena].)
9	30-2022-01262550 Portfolioiq vs. Tradability, LLC	Motion for Leave to Intervene The Motion to Intervene by Proposed Plaintiffs in Intervention Tracy Kinder and Roxanna Guinan (Movants) is DENIED. Movants' Request for Judicial Notice of the complaint in <i>Kinder v. Gallant</i>, OCSC No. 2022-01282519 (<i>Kinder</i> case) is granted. Defendants Diallo and Tradability's Request for Judicial Notice of the Complaint, Cross-Complaint, and 5/12/23 Order in the <i>Kinder</i> case is also granted. Code of Civil Procedure section 387 provides for mandatory and permissive intervention. Section 387, subdivision (d)(1) states the requirements for mandatory intervention: “(d)(1) The court shall, upon timely application, permit a nonparty to intervene in the action or proceeding if either of the following conditions is satisfied: (A) A provision of law confers an unconditional right to intervene. (B) The person seeking intervention claims an interest relating to the property or transaction that is the subject of the action and that person is so situated that the disposition of the action may impair or impede that person's ability to protect that interest, unless that person's interest is adequately represented by one or more of the existing parties.” Section 387, subdivision (d)(2) provides for permissive intervention: “(2) The court may, upon timely application, permit a nonparty to intervene in the action or proceeding if the person has an interest in the matter in litigation, or in the success of either of the parties, or an interest against both.”

	Here, Movants contend intervention is appropriate because they are former employees of nominal Defendant Pomegranate Holdings, LLC (Pomegranate) who received shares and certain voting rights as part of their compensation. Movants contend they have a shared interest in this case, specifically the issues of control, elections, and voting as to Pomegranate, as well as the determination of ownership of units of Pomegranate. They have filed a proposed complaint in intervention with their motion, which alleges claims that are similar to Movants' claims in the <i>Kinder</i> case. Movants state they would dismiss their duplicative claims in the <i>Kinder</i> case if this motion is granted. (Motion, p. 10 fn. 4.) Movants contend intervention is necessary to avoid inconsistent outcomes because they assert similar claims in the <i>Kinder</i> case. First, Movants have not shown that intervention is mandatory under section 387(d)(1). They do not contend any provision of law confers an unconditional right to intervene. And they have not shown they are so situated that the disposition of this case will impair or impede their ability to protect their interests related to control of Pomegranate. Specifically, because Movants are already pursuing such claims in the <i>Kinder</i> lawsuit, denial of intervention will not preclude them from asserting their rights regarding these issues. Moreover, Movants and Plaintiff PortfolioIQ appear to take substantially similar positions regarding the issues in this case such that their interests are being represented in this case as to any claims not already being pursued by Movants in the <i>Kinder</i> case. Permissive intervention under section 387(d)(2) is also not appropriate. Although Movants have shown they have an interest in this matter regarding the issue of control of Pomegranate, allowing Movants to intervene could result in inconsistent rulings and allow Movants to avoid the effect of rulings which have occurred in the <i>Kinder</i> lawsuit, including an order granting Defendant Gallant's motion to quash Movants' claims against him and orders related to an anti-SLAPP motion. The intervention statute is not intended to allow proposed intervenors to engage in forum shopping by intervening in a lawsuit to avoid the effect of adverse rulings in another pending case. Moreover, Movants have not explained why their concerns about inconsistent results cannot be addressed through a request to relate or consolidate this case with the <i>Kinder</i> lawsuit.
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		California Rules of Court, Rule 3.300 provides, “(a) Definition of ‘related case’ A pending civil case is related to another pending civil case, or to a civil case that was dismissed with or without prejudice, or to a civil case that was disposed of by judgment, if the cases: (1) Involve the same parties and are based on the same or similar claims; (2) Arise from the same or substantially identical transactions, incidents, or events requiring the determination of the same or substantially identical questions of law or fact; (3) Involve claims against, title to, possession of, or damages to the same property; or (4) Are likely for other reasons to require substantial duplication of judicial resources if heard by different judges.” If any party believes this case and the <i>Kinder</i> case involve related issues as defined under Rule 3.300(a), they shall promptly file notices of related case as required under Rule 3.300(b), which states, “Whenever a party in a civil action knows or learns that the action or proceeding is related to another action or proceeding pending, dismissed, or disposed of by judgment in any state or federal court in California, the party must serve and file a Notice of Related Case.” Any remaining concerns about inconsistent results can be raised through a motion to consolidate this case with the <i>Kinder</i> case, if appropriate, under Rule 3.350 and Code of Civil Procedure section 1048, which states, “(a) When actions involving a common question of law or fact are pending before the court, it may order a joint hearing or trial of any or all the matters in issue in the actions; it may order all the actions consolidated and it may make such orders concerning proceedings therein as may tend to avoid unnecessary costs or delay.”
10	30-2022-01274579 Parker vs. Lee	Motion – Other (to Modify Preliminary Injunction) Plaintiff Ana Christina Parker’s (Plaintiff) Motion to Modify Preliminary Injunction (Motion) is DENIED. On 11-29-22, the Court entered the following preliminary injunction in this action pursuant to Plaintiff’s motion: “Defendants Lee, Nguyen, and their agents, servants, employees, and representatives, and all persons acting in concert with them, are enjoined and restrained during the pendency of this action from engaging in, committing, or

performing, directly or indirectly, as to the four (4) foot wide Strip of Land described in paragraphs 5 through 9 of the amended complaint, from obstructing or interfering with Claudia's access to and use of such Strip of Land for her foot travel egress from the rear of her home at 11592 Desmond Street, Garden Grove, CA 92841 (Lot 35), to her front curb, and ingress from the front curb to the rear of her home, which Strip of Land appears to encroach into defendants' contiguous property at 11602 Desmond Street, Garden Grove, Ca 92841 (Lot 34) at such Strip of Land's widest point from her front planter by approximately three (3) feet."

(see ROA 49).

Plaintiff moves for an order modifying the Court's 11-29-22 preliminary injunction to add the following:

" 2(a) to allow Ana, or her husband, Erik , or their professional gardener, to level, compact, and thereafter maintain the filled- in 4 trench and surrounding area within the 4-foot wide Strip of Land so that it be safe upon which her mother, Claudia, and her daughter, Ana, may traverse (a) for Claudia or Ana to carry shopping/food packages to and from the front curb to the kitchen rear of her Lot 35; and

(b) to allow Ana and her husband, Erik Parker, level access over the Strip of Land with their lawnmower to reach Lot 35's front lawn and otherwise for them or her gardener regularly to cut and maintain the Strip of Land without risk of tripping or falling into holes or depressions in the filled - in, uncompacted Strip."

Code of Civil Procedure section 553 states: "[i]n any action, the court may on notice modify or dissolve an injunction or temporary restraining order upon a showing that there has been a material change in the facts upon which the injunction or temporary restraining order was granted, that the law upon which the injunction or temporary restraining order was granted has changed, or that the ends of justice would be served by the modification or dissolution of the injunction or temporary restraining order."

Here, Plaintiff contends that the 11-29-22 preliminary injunction must be modified because Defendants have dug another trench

		on the Strip of Land after Plaintiff filed her initial Motion for Preliminary Injunction which has caused an unsafe condition on the Strip of Land. In Opposition, Defendants contend that the Motion must be denied because the alleged trench on the Strip of Land has been filled in and leveled. Defendants submit evidence that as of January 2024, the Strip of Land is smooth, and that their tenants use it to access their property daily. (Le Decl., ¶ 7, Exhibit D.) The Court has reviewed the photographs submitted by Defendants and agree that there is currently no material change in the facts upon which the preliminary injunction was granted. Therefore, modification of the preliminary injunction is not appropriate, and Plaintiff's Motion is DENIED. The Court does not consider Defendants' arguments in Opposition that the preliminary injunction should be dissolved entirely because Plaintiff's Motion only sought to modify the preliminary injunction. "As a general rule, the trial court may consider only the grounds stated in the notice of motion." (<i>Luri v. Greenwald</i> (2003) 107 Cal.App.4th 1119, 1125.) Defendants are to give notice.
12	30-2022-01279372 Rucker vs. Harbor View Hills Community Association	Motion for Protective Order Plaintiff's Motion to Quash Subpoena (filed on 11/9/23) is DENIED as moot. This lawsuit involves Plaintiff's application to build a home on 2700 Harbor View Drive. In this motion, Plaintiff contends the subpoena improperly seeks documents related to Plaintiff's mortgage loans for his existing home at 3100 Harbor View Drive rather than the disputed property at 2700 Harbor View Drive. In opposition, Defendant states this was a clerical error, and it has served a revised subpoena with the correct address. Plaintiff has served a motion to quash the revised subpoena, which is set for hearing on 2/13/24. Therefore, the Court will address the parties' substantive arguments regarding the revised subpoena at the hearing on 2/13/24, making the present motion moot.

13	30-2022-01254056	Motion for Protective Order Defendants Ethan Logan, Moreno Valley Gateway, LLC, MVG Turnpike, LLC, Statewide Ministorage/Barstow, LLC, and Statewide Ministorage/Meniffee, LLC’s Motion for a Protective Order is GRANTED. Pursuant to CCP § 2031.060, “[t]he court, for good cause shown, may make any order that justice requires to protect any party, deponent, or other natural person or organization from unwarranted annoyance, embarrassment, or oppression, or undue burden and expense.” (Code Civ. Proc., § 2031.060(b)(5).) This includes orders that: “a trade secret or other confidential research, development, or commercial information not be disclosed or be disclosed only to specified persons or only in a specified way.” (Ibid.) CCP § 2017.020 provides that: “The court shall limit the scope of discovery if it determines that the burden, expense, or intrusiveness of that discovery clearly outweighs the likelihood that the information sought will lead to the discovery of admissible evidence. The court may make this determination pursuant to a motion for protective order by a party or other affected person. The burden is on the party seeking the protective order to show “good cause” for whatever order is sought. (<i>Fairmont Ins. Co. v. Sup. Ct.</i> (2000) 22 Cal.4th 245, 255; <i>Stadish v. Super. Ct.</i> (1999) 71 Cal.App.4th 1130, 1145.) “The concept of good cause . . . calls for a factual exposition of a reasonable ground for the sought order.” (<i>Goodman v. Citizens Life & Cas. Ins. Co.</i> (1967) 253 Cal.App.2d 807, 819.) Proof on the question of good cause is presented through declarations and counter-declarations. (<i>Greyhound Corp. v. Super. Ct.</i> (1961) 56 Cal.2d 355, 389.) The issuance and formulation of protective orders are to a large extent discretionary in evaluating and balancing the interests of the parties and the public when determining whether there is good cause for a protective order and defining the scope of any protective order. (<i>Raymond Handling Concepts Corp. v. Sup. Ct.</i> (1995) 39 Cal.App.4th 584, 588, 591). Defendant Ethan Logan has been previously ordered to produce certain confidential financial by this Court.
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Article I, Section 1 of the California Constitution declares that the right to privacy is “inalienable.” This provision as well as Section 2031.060, separately or in concert, have led appellate courts of California to approve various protective orders for financial information. (See *G.T. Inc v. Superior Court* (1984) 151 Cal.App.3d 748, 752.) When an individual’s right of privacy in his financial affairs conflicts with the public need for discovery in litigation, the competing interests must be carefully balanced. (*Valley Bank of Nevada v. Superior Court* (1975) 15 Cal. 3d 652, 657.)

Defendants submit the declaration of counsel, Laura Petrie, and argue that a protective order is necessary for the following reasons:

- The protective order sought is intended to limit the use and disclosure of information, testimony, and documents produced or provided in this case to this case only and to prevent disclosure to third parties and litigants engaged in other litigation with Defendants. (Petrie Decl., ¶ 3.)
- The “other litigation” is entitled *Damian Collins v. Garfield Langmuir-Logan, Ethan Logan, Moreno Valley Gateway, LLC, and MVG Turnpike, LLC*, Case No. 30-2019-01092238-CU-PO-CJC (“Collins Case”), pending before Judge Strickroth. That case involves mostly breach of contract claims, but there are also causes of action for breach of fiduciary duty, aiding and abetting breach of fiduciary duty, and a fraud cause of action against some of the same defendants in this case. (Id. at ¶ 4.)
- Counsel for Plaintiff Damian Collins in the Collins Case are Dan Harrison and Wilfred M. (“Mike”) Wright of Berger Harrison APC. (Id. at ¶ 5.) [Berger Harrison APC was also the counsel for former party Plaintiff Nicholas Sanders.]
- Plaintiff also previously obtained a Judgment against Garfield Logan in Case No. 30-2011-00468519-PR-TR-CJC (“Judgment Case”). Sanders has been conducting collection work in an effort to collect the judgment, including a seeking the debtor exam and production of documents from Garfield, and issuance of subpoenas for documents and depositions to every one of Defendants herein (as well as numerous other entities). (Id. at ¶¶ 7, 8.)
- Because of Mr. Berger’s stated belief that he could share any documents with Mr. Harrison or Mr. Wright,

		defendant Ethan Logan sought and obtained a protective order in the Judgment Case. (Id. at ¶ 9, Ex. 2.) • After advising Defendants and the court that the negotiated settlement was unilaterally terminated by Mr. Sanders, there is now a new plaintiff – John Collins (or any entity he is associated with Justice Meritus LLC) • John Collins is the father of Damian Collins, the plaintiff in the Collins Case. Now that John Collins is involved in this case, a protective order is even more critical because any documents or information discovered in this case by John Collins in his capacity as Plaintiff will likely be handed over to Damian Collins in the Collins Case. • It is believed that Mr. Harrison and Mr. Wright seek to obtain the discovery from this case as a means to exert pressure on Defendants in the Collins Case and to obtain improper financial discovery without a court order as required by Civil Code § 3295. (Motion, p. 16:2-4.) • Damian Collins has never obtained an order from the Court in the Collins Case permitting such financial discovery prior to trial required by Civil Code §3294 and §3295, and thus, would never be permitted to obtain such information unless and until liability for punitive damages is determined. (Petrie Decl., ¶ 20.) Defendants have shown “good cause” for a general protective order to protect the private and confidential documents of Defendants. Plaintiff has not raised any arguments that sufficiently override Defendants right to privacy regarding their financial documents. Although Plaintiff wishes to share documents in this case with the parties in the Collins Case, Plaintiff has not shown a reason why this is necessary other than to argue that “the protective order will impede the ends of justice.” (Opposition, ¶ p. 10:8-10.) Such argument is insufficient to permit the disclosure of sensitive information to parties outside this litigation. Moreover, the parties in the Collins Action are subject to the same discovery rules as the parties in this case. If the plaintiff in the Collins Action is entitled to obtain the financial documents of Defendants, then it can obtain such documents in that case. To allow the plaintiff in the Collins Action access to Defendants financial documents that he would otherwise not be entitled to would create an unfair advantage.
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		Accordingly, the Court GRANTS the motion for protective order. Defendants submit a proposed protective order as Exhibit 4 to the declaration of Laurie Petrie. The parties appear to agree with most of the substance of the protective order, except for paragraph 8. The Court finds that paragraph 7 provides Defendants with sufficient protections, and therefore, finds paragraph 8 unnecessary. Defendants to submit a proposed protective order consistent with this ruling. Moving party to give notice.
14	30-2023-01325265 Doe 1 vs. Anderson	1. Motion for Protective Order <u>Motion 1</u> Defendant Richard Andersen’s (Defendant) Motion for Protective Order (Motion) is DENIED. Defendant Richard Andersen moves for a protective order staying his deposition “until such time as the facts of Plaintiffs’ complaint can be more fairly understood and the parties can conduct discovery that does not abridge Defendant’s Fifth Amendment right against self-incrimination.” (Motion, 13: 17-22.) Defendant argues that a protective order must issue because “a real possibility of Criminal Action remains open against Defendant.” (Motion, 10:8-9.) Defendant further argues that this is because any information Plaintiffs seek during discovery will force Defendant to assert his Fifth Amendment rights, and forcing the Court to rule on this many assertions of the Fifth Amendment will be a waste of the parties and the Court’s resources. However, as to the status of any criminal action or investigation, Defense counsel Ed Flores only attests: “the investigation was proceeding as late as October 2022. The status of this investigation is currently unknown...” (Flores Decl., ¶ 2.) This does not demonstrate that Defendant currently faces a threat of criminal prosecution. Further, Defendant’s Motion does not cite to legal authority which demonstrates that a stay is warranted. Defendant primarily relies on <i>Pacers, Inc. v. Superior Court</i> (1984) 162

Cal.App.3d 686 (*Pacers*). However, *Pacers* is factually distinguishable because moving parties presented more concrete evidence that they were faced with criminal prosecution. Specifically, the moving parties in *Pacers* differ from Defendant in this action because they did give depositions, at which they asserted their Fifth Amendment privilege. (*Id.* at 688.) Further, moving parties presented evidence that the United States Attorney maintained an “open file” on their case even though the federal grand jury refused to issue indictments. (*Id.* at 687.) In contrast to *Pacers*, Defendant does not have evidence of any ongoing investigation, as his counsel attests that the current status is “unknown.” Further, Defendant did not actually assert his Fifth Amendment privilege at any deposition.

In contrast, to *Pacers*, *People ex rel. Allstate Ins. Co. v. Suh* (2019) 37 Cal. App. 5th 253, 258 (*Suh*) cited by the Opposition, is more factually on point. The Court in *Suh* distinguished *Pacers*, noting, among other things, that the defendants in *Pacers* presented evidence that there was a real possibility of criminal prosecution. (*Id.* at 258.) The Court in *Suh* further held that it was appropriate for the trial court to deny the request for a stay because “although there was some evidence of a criminal investigation at some point, there was no evidence that it was ongoing.” (*Id.*)

Based on the foregoing, the Court DENIES Defendant’s Motion.

Plaintiff is to give notice.

2. Motion for Preference

Motion 2

Plaintiffs Jane Doe 1, a minor by and through her Guardians Ad Litem Joshua Busch, Jennifer Busch and Jane Doe 2, a minor by and through her Guardians ad Litem Mike Jones and Dianne Jones’ (Plaintiffs) Motion for Trial Preference (Motion) is GRANTED.

Plaintiffs move for preferential trial setting pursuant to Code of Civil Procedure section 36(b), which provides: “[a] civil action to recover damages for wrongful death or personal injury shall be entitled to preference upon the motion of any party to the action who is under 14 years of age unless the court finds that the party does not have a substantial interest in the case as a

	whole. A civil action subject to subdivision (a) shall be given preference over a case subject to this subdivision.” Here, Plaintiffs submit evidence through their verified Form Interrogatory Responses that they are each under 14 years of age. (see Becket Decl., ¶¶ 3-6, Exhibits A-B.) Plaintiffs also each have a substantial interest in the case as a whole as both are parties to the case. Further, both Plaintiffs allege that they suffered personal injury as a result of Defendant’s alleged sexual assault. (see Complaint, ¶ 37.) In Opposition, Defendant contends that preference should not be granted because it violates Defendant’s right to due process by severely truncating Defendant’s discovery rights. However, as recognized by <i>Peters. v. Superior Court</i> (1989) 212 Cal.App.3d 218, 224, cited by the Opposition, preference under Code of Civil Procedure section 36(b) is mandatory, not discretionary, if the moving party meets the requirements. As discussed above, Plaintiffs have shown they are under 14 and have a substantial interest in the litigation. Therefore, the Court GRANTS Plaintiffs’ Motion. The Court schedules Trial for May 17th, 2024, at 9:00 am in Department C32. Plaintiffs are to give notice.
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